

Consumption



When you buy a shirt, get a haircut or eat a burger, you are consuming part of the output of the economy. Economists think about consumption at the level of individuals, studying how people choose what to buy given the prices of products and the income available to them. At the level of the overall economy, consumption takes up a major share of a country's national income.

Various explanations of the level of consumption have been put forward. British economist John Maynard Keynes said that when people receive extra income they consume a fraction of it and save the rest. If their income was zero, they would still consume some small amount, using savings or borrowing. Other theories look at how people decide between consumption today or in the future. When consumers take a forward-looking approach, higher income today doesn't necessarily translate into higher

consumption: if they believe that the increase is temporary, they may save the extra income for a rainy day.